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Nova

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NDR Takeaways: Demand Rock Solid as Customer Base Broadens Out

The stage looks set for NVMI to meaningfully outperform WFE with multiple growth drivers across Leading Edge Foundry Logic & Memory. The GAA opportunity extends beyond TSMC to Samsung, Intel, and Rapidus, carrying 30 percent higher metrology intensity vs. FinFet. Advanced DRAM and HBM are driving record Memory results, while hybrid bonding pulls more front-end tools into the back-end.

We recently hosted NVMI mgmt on the road for meetings with investors. We came away incrementally positive on the outlook for NVMI with multiple growth drivers offering meaningful opportunity to outperform an already strong WFE backdrop. The tone was decidedly positive, with expectations for continued strength in Gate-All-Around (GAA) now underpinned by a broadening range of customers rather than a single anchor account. Intel remains a compelling source of incremental upside given the IDM's recent decision to prioritize Process Control technology after years of under-investment along with potential upside from burgeoning Terafab opportunity. The Memory business adds a second leg to the growth story, with Advanced DRAM now a record contributor driven by the 4F2 transition, the move toward 3D DRAM, and the ongoing buildout of HBM capacity, while clean room availability remains the binding constraint on supply rather than demand. Layered on top is a structural Advanced Packaging tailwind tied to hybrid bonding and rising back-end metrology attach rates. Taken together, we believe NVMI enters 2026 with multiple independent growth drivers, a broadening customer base and an expanding product portfolio, leaving the setup notably more diversified than in prior cycles.

Advanced Nodes - Customer Set Broadening and Gate-All-Around, All Around: The GAA transition is one of the most important growth drivers at the leading edge for NVMI. The architecture shift carries ~30% more metrology intensity vs. FinFet. TSMC is the leader in this transition and began its ramp in 2H25. The more notable development is that the GAA story is no longer a single customer story. Samsung sounds strong, Intel is positioned much better than it was a year ago, and Rapidus continues to meet its milestones. NVMI proved out GAA share with both TSMC and Samsung, and anything Intel contributes is incremental given they have historically under-indexed to Process Control. On Intel specifically, the company sold essentially nothing into Intel during the FinFET era, but Intel has since adopted the majority of the NVMI portfolio. Terafab is a newer entrant, and it remains early days, but the company is borrowing process technology from Intel rather than building from the ground up, and NVMI's strong existing relationship with Intel should help its positioning there. Positioning at Rapidus is strong given the 2nm process was designed by IBM using NVMI metrology. Separately, significant capacity expansion at TSMC's 3nm is also meaningful, though it does not carry the same intensity torque as the GAA architecture transition.

FY (Dec)	2024A	2025A	2026E	2027E
EPS	6.69	8.67	10.36	12.84
Cons. EPS	6.69	8.68	10.33	12.49
Rev. (MM)	672.4	880.6	1,060.9	1,277.7
Cons. Rev.	672.4	880.6	1,031.8	1,234.4

COMPANY UPDATE

RATING	BUY
PRICE	$514.49^
PRICE TARGET | % TO PT	$640.00 | +24%
52W HIGH-LOW	$565.00 - $217.50
FLOAT (%) | ADV MM (USD)	93.8% | 214.32
MARKET CAP	$17.4B
TICKER	NVMI

^Prior trading day's closing price unless otherwise noted.
Price: Intraday

FY (Dec)	CHANGE TO JEFe		JEF vs CONS	
	2026	2027	2026	2027
REV	NA	NA	+3%	+4%
EPS	NA	NA	NM	+3%

2026 ($)	Q1	Q2	Q3	Q4	FY
EPS	2.33	2.43	2.65	2.95	10.36
PREV					

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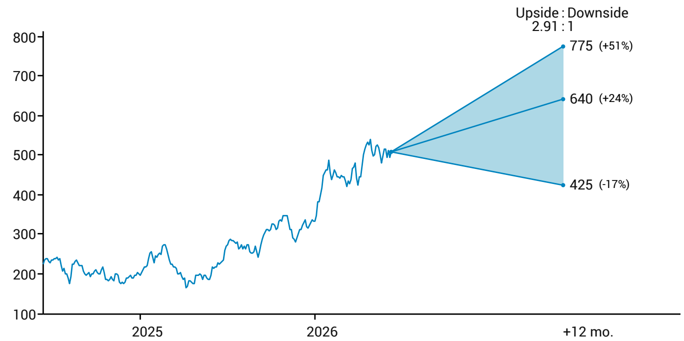
The Long View: Nova

Investment Thesis

- Optical metrology pure-play that stands to benefit from chips increasing in complexity as smaller transistors require more process steps, ultimately increasing ASPs and margins.
- Differentiated product portfolio including hybrid bonding, chemical metrology, and materials metrology tools which improve performance, yield, and time to market.
- As chips increase in size, demand grows for NVMI, because larger chips require more wafers.
- Potential beneficiary of US semiconductor onshoring trends as customers look to move supply chains to the US.

Risk/Reward - 12 Month View



Base Case,
$640, +24%

- Product revenues to grow with recovery in foundry/logic and memory markets, particularly in leading edge.
- NVMI continues to outgrow overall WFE, as more complex metrology tools are needed to service increasing manufacturing complexity.
- Maintain target operating margin while growing its top line through new technology, chemical analysis growth, and M&A.
- **Price Target: $640** implies 44x our CY28E EPS of $14.54

Upside Scenario,
$775, +51%

- Leading edge tools timing pulls forward and outperforms expectations.
- Higher-than-expected performance of overall WFE as NVMI expands manufacturing capacity to meet demand for its metrology tools.
- Margin expansion from higher ASPs as tools become more complex and a higher demand for leading edge technologies.
- **Price Target: $775** implies 43x our CY28E EPS of $18.00.

Downside Scenario,
$425, -17%

- Slower industry-wide inventory correction impacting margins.
- NVMI underperforms overall WFE and has excess capacity due to a lack of demand for its metrology tools.
- Slowing capex of customers leading to decline in NVMI revenue and margins.
- **Price Target: $425** implies 43x our CY28E EPS of $10.00.

Sustainability Matters

Top Material Issue: Product Design & Lifecycle: Nova's metrology tools are aimed at increasing efficiency and yield in semiconductor manufacturing processes, leading to a reduced environmental footprint, energy consumption, use of water, materials, chemicals, and waste generation.

Company Target: In 2023, Nova began mapping out a plan to focus on the process reducing its carbon footprint and collecting, monitoring, and enhancing Scope 1, Scope 2, and Scope 3 GHG emissions data.

Questions for Management: 1) What quantifiable goals have you set out regarding reducing GHG emissions and reducing your carbon footprint? **2)** Have you taken any steps to remain operational for extended durations to mitigate your front-end supply chain risks?

Catalysts

- Transistors per package continue to increase and thus requiring more complex lithography and metrology tools.
- Capex increases at NVMI's largest customers.

Memory Trends - DRAM the Focus with NAND Greenfield Likely Pushing to 2028: Memory was a key growth driver entering 2026, with the larger Memory manufacturers such as Samsung and Micron focusing almost exclusively on DRAM for now. Within DRAM, NVMI sees a broad set of opportunities tied to the architectural roadmap, including the 4F^2 transition, the move toward 3D DRAM, and the bump transition, alongside the ongoing buildout of high bandwidth Memory capacity. These transitions are increasing metrology intensity in a part of the market that historically behaved with less complexity. The Advanced DRAM mix is now a larger share of Memory revenue than it has been historically, and in the first quarter of 2026 Advanced DRAM applications accounted for roughly two thirds of the Memory business. This strength has shown up across the portfolio, with record VeraFlex sales into Memory fabs, new PRISM orders supporting HBM manufacturing, repeat Metrion purchases by a leading Memory customer for both Advanced DRAM and 3D NAND, and continued share gains in front end chemical metrology with the AncoScene platform. Management noted that demand has been strong with customers providing meaningful visibility, and that the primary constraint on DRAM capacity additions today is clean room space, which is driving a wave of investment as supply tries to catch up with demand. On NAND, the picture is more constrained. NVMI does not have any share of conversions or upgrades, which is where the majority of current NAND investment is concentrated, and there appears to be little opportunity for greenfield NAND capacity before 2028. The company would benefit from a greenfield NAND expansion when it eventually happens, but that has not yet materialized. NVMI’s relative exposure to NAND largely mirrors its broader WFE exposure rather than representing an outsized position. Over the long term, management frames the mix at roughly 60 percent logic and 40 percent Memory given the higher metrology intensity of logic.

Advanced Packaging - Hybrid Bonding Pulls Front-End Tools into the Back-End: Advanced Packaging has gone from zero exposure in 2022 to ~20 percent of revenue in 2025, and management expects it to reach approximately 20-25% of total revenue in calendar 2026 with the segment on track to outpace total company growth. The participation comes through three of the four divisions. Dimensional metrology, spanning both integrated metrology and standalone OCD, is migrating from the front end into the back end, with PRISM now used by TSMC for CoWoS where it is displacing AFM and micro needle technology. Chemical metrology through Ancosys is well established in Advanced Packaging. Materials metrology is the only division not yet selling into the back end, with adoption hoped for over the next year or two as an incremental layer. The more structural opportunity is hybrid bonding, which management framed as an inflection point that pulls front end tools into the back end. A useful illustration is the CMP attach rate. On the front end there is essentially 100 percent attach for integrated metrology between the polisher and the integrator, while on the back end the attach rate for integrated metrology was historically zero because wafer flatness was not a priority for the customer. As customers begin actually stacking wafers, that flatness measurement becomes necessary, and the back end attach rate has moved to roughly 10 to 20 percent today with expectations to climb higher. NVMI holds approximately 100 percent share of this back end integrated metrology application, and hybrid bonding is accelerating the adoption. Management expects logic to adopt hybrid bonding first, with AMD already using it at still low volumes, and Memory to follow eventually with the timing as the open question. EMIB style integration also benefits NVMI rather than only raw wafer starts. Management framed the full hybrid bonding opportunity as not necessarily a NTM event but one that will materialize and drive significant growth over time.

China Debate - NVMI Still Ahead on Tech, China Demand Here to Stay: China remains a meaningful but managed part of the business with the majority of its China revenue concentrated in mature nodes. Most notably, management believes there is still a meaningful technology gap between NVMI and local Chinese competitors and though China as % of total revenue likely declines going forward the market remains an important opportunity. The important framing point is that investors typically view NVMI’s higher China exposure on a relative basis versus CAMT/ONTO as a risk, but NVMI’s exposure actually closely mirrors that of its larger cap competitors (KLAC/LRCX/AMAT). We view that positioning not as a vulnerability so much as a reflection of NVMI being able to compete effectively in one of the largest WFE markets in the world.

Software, Services, & Capital Allocation: Software remains a high margin business and flows through Product if sold alongside new purchases but through Services segment if sold into existing installed base. Altogether the majority of software flows through the Product segment. The Services business operates on a lag vs. Product sales given majority of tools come with 1-2 year warranty. GM for Services business sits below corporate average given it's very labor intensive. Criteria for acquisition are that the purchase needs to be accretive within 12 months, needs to fit the financial model (GMs, OMs, etc.), and needs to be some revenue and technology synergies.

As interest in the SMID Semi-Cap names continues to grow, we are offering a segment-level breakdown of the business for investors looking to get up to speed below:

Dimensional Metrology - Expect Continued AP Share Gains: Dimensional metrology represents the legacy core of NVMI and accounts for roughly 40-50% of total revenue. The segment is based in Israel and spans two product families. The first product segment is integrated metrology, where NVMI holds approximately 75 percent market share and remains the clear leader in what is effectively a two-player market. Competition in this space stems from the legacy Nanometrics portfolio now housed within Onto Innovation. The second family is the standalone OCD platform, where NVMI competes against Onto and KLA with the PRISM tool. PRISM relies on a unique spectral interferometry approach that differentiates the data it provides to customers, and it marked the first time NVMI captured meaningful share gains in standalone OCD. While NVMI's dimensional metrology tools are designed and historically deployed as front-end solutions, foundries are increasingly applying them in back-end Advanced Packaging applications. TSMC first adopted PRISM for wafer metrology and subsequently extended it into CoWoS, where it is displacing AFM and micro needle technology. The primary advantage of Optical vs. legacy AFM is higher throughput driving lower cost of ownership.

Materials Metrology - Elipson and Metrion Set to Drive Share Gains: The Materials Metrology is based in Fremont, California, stems from the 2015 acquisition of ReVera and accounts for roughly 30-40% of total revenue. The flagship product line is VeraFlex, an in line XPS platform used to measure composition and the thickness of ultra-thin film layers that cannot be characterized with OCD. VeraFlex carries an ASP in the range of $4M-8M per tool and remains the established market leader. Beyond VeraFlex, management highlighted two new product lines set to drive growth in this business. The first is Elipson, which is built on Raman spectroscopy and measures material properties such as stress, strain, composition, and crystallinity across both Memory and Logic applications. Metrion brings secondary ion mass spectrometry into the fab, replacing the long turnaround time of lab-based SIMS with full wafer inline depth profiling. Management views both tools as highly differentiated and noted there is no real competition for either product line. Each carries a TAM of approximately $200 million over time. It should be noted that Materials metrology is the only division within NVMI that does not yet sell into Advanced Packaging. Management believes that within the next 12 months it can begin deploying these front-end tools into the back end, which would represent an incremental growth opportunity layered on top of the existing front end installed base.

Chemical Metrology - Defending the Back-End with Share Gains in Front-End: The Chemical Metrology business is based in Germany and accounts for roughly 10-15% of total revenue. The segment was established through the 2022 acquisition of Ancosys, a provider of chemical analysis and metrology solutions that Nova purchased in an all-cash deal valued at ~$100 million including a performance earnout. The Ancosys acquisition was engineered specifically to extend NVMI's solution set into the back end and Advanced packaging markets. The tools perform chemical metrology on the plating bath chemistry used in electroplating, and they are designed to sit on the Lam Research electroplating tools. The competitive landscape in Chemical Metrology splits along front end and back-end lines. The other major player in the space was ECI, which focused on the front end with a simpler toolset, while the back end was a more complicated technical problem that represented only about 25 percent of the overall market. Shortly after NVMI acquired Ancosys, KLA acquired ECI, which made KLA the primary competitor in the space. Management believes it is successfully defending its strong position in the more complex back end while also taking share from ECI in front end chemical metrology. This front-end share gain is the dynamic management references once or twice per year when it discusses progress in chemical metrology. The business is well established and sells across the full range of industry subsegments spanning Advanced nodes, mature nodes, and Advanced Packaging.

Figure 1 - Revenue Breakdown

Nova Period Ending $ in million	Mar-25 1Q	Jun-25 2Q	Sep-25 3Q	Dec-25 4Q	Mar-26 1Q	Jun-26 2QE	Sep-26 3QE	Dec-26 4QE	Mar-27 1QE	Jun-27 2QE	Sep-27 3QE	Dec-27 4QE	2025 CY	2026 CYE	2027 CYE	2028 CYE
Segment Model																
Revenues by End Market																
Product	$173.9	$177.8	$178.9	$175.0	$186.3	$202.3	$222.5	$246.2	$255.2	$263.7	$263.7	$265.4	$705.6	$857.2	$1,048.1	$1,167.0
Foundry & Logic	130.5	133.4	125.2	131.2	122.9	137.7	151.5	166.6	173.3	178.5	178.5	178.5	520.3	578.7	708.6	793.7
Memory	43.5	44.5	53.7	43.7	63.3	64.6	71.1	79.6	82.0	85.2	85.2	87.0	185.3	278.6	339.4	373.4
Service	39.4	42.2	45.7	47.7	49.0	49.5	51.5	53.6	55.7	56.8	58.0	59.1	175.0	203.7	229.7	257.2
Total	**$213.4**	**$220.0**	**$224.6**	**$222.6**	**$235.3**	**$251.8**	**$274.0**	**$299.8**	**$311.0**	**$320.5**	**$321.7**	**$324.5**	**$880.6**	**$1,060.9**	**$1,277.7**	**$1,424.3**
Check	**$213.4**	**$220.0**	**$224.6**	**$222.6**	**$235.3**	**$250.0**							**$880.6**			
							17.8%									
QoQ Growth																
Product	10%	2%	1%	(2%)	6%	9%	10%	11%	4%	3%	0%	1%				
Foundry & Logic	14%	2%	(6%)	5%	(6%)	12%	10%	10%	4%	3%	0%	0%				
Memory	(2%)	2%	21%	(18%)	45%	2%	10%	12%	3%	4%	0%	2%				
Service	9%	7%	8%	4%	3%	1%	4%	4%	4%	2%	2%	2%				
Total	**10%**	**3%**	**2%**	**(1%)**	**6%**	**7%**	**9%**	**9%**	**4%**	**3%**	**0%**	**1%**				
YoY Growth																
Product	56%	43%	25%	10%	7%	14%	24%	41%	37%	30%	19%	8%	31%	21%	22%	11%
Foundry & Logic	95%	43%	16%	15%	(6%)	3%	21%	27%	41%	30%	18%	7%	36%	11%	22%	12%
Memory	(3%)	43%	49%	(1%)	46%	45%	32%	82%	29%	32%	20%	9%	19%	50%	22%	10%
Service	30%	31%	29%	32%	24%	17%	13%	12%	14%	15%	13%	10%	31%	16%	13%	12%
Total	**50%**	**40%**	**25%**	**14%**	**10%**	**14%**	**22%**	**35%**	**32%**	**27%**	**17%**	**8%**	**31%**	**20%**	**20%**	**11%**
% of Sales																
Product	82%	81%	80%	79%	79%	80%	81%	82%	82%	82%	82%	82%	80%	81%	82%	82%
Foundry & Logic	75%	75%	70%	75%	66%	68%	68%	68%	68%	68%	68%	67%	74%	68%	68%	68%
Memory	25%	25%	30%	25%	34%	32%	32%	32%	32%	32%	32%	33%	26%	32%	32%	32%
Service	18%	19%	20%	21%	21%	20%	19%	18%	18%	18%	18%	18%	20%	19%	18%	18%
Total	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**

Source: Company Reports, Jefferies Research

Figure 2 - Income Statement

Nova Period Ending $ in million	Mar-25 1Q	Jun-25 2Q	Sep-25 3Q	Dec-25 4Q	Mar-26 1Q	Jun-26 2QE	Sep-26 3QE	Dec-26 4QE	Mar-27 1QE	Jun-27 2QE	Sep-27 3QE	Dec-27 4QE	2025 CY	2026 CYE	2027 CYE	2028 CYE
Income Statement																
Revenues	**$213.4**	**$220.0**	**$224.6**	**$222.6**	**$235.3**	**$251.8**	**$274.0**	**$299.8**	**$311.0**	**$320.5**	**$321.7**	**$324.5**	**$880.6**	**$1,060.9**	**$1,277.7**	**$1,424.3**
QoQ	9.5%	3.1%	2.1%	(0.9%)	5.7%	7.0%	8.8%	9.4%	3.7%	3.1%	0.4%	0.9%				
YoY	50.5%	40.2%	25.5%	14.3%	10.3%	14.5%	22.0%	34.6%	32.1%	27.3%	17.4%	8.3%	31.0%	20.5%	20.4%	11.5%
Cost of Goods	86.2	88.0	93.2	90.1	95.4	103.2	111.8	122.3	126.2	130.1	130.3	131.4	357.4	432.8	518.1	576.8
Gross Profit	**$127.2**	**$132.0**	**$131.4**	**$132.6**	**$139.9**	**$148.6**	**$162.2**	**$177.5**	**$184.7**	**$190.4**	**$191.4**	**$193.1**	**$523.1**	**$628.1**	**$759.6**	**$847.4**
R&D	30.5	32.7	33.9	35.1	34.1	39.0	42.0	45.0	46.8	47.8	48.8	49.8	132.3	160.1	193.2	212.5
SG&A	23.0	24.2	24.6	27.0	25.4	27.0	28.0	28.5	29.6	30.1	30.6	31.1	98.9	108.9	121.6	131.3
Total Operating Expense	**$53.5**	**$56.9**	**$58.6**	**$62.1**	**$59.4**	**$66.0**	**$70.0**	**$73.5**	**$76.4**	**$77.9**	**$79.4**	**$80.9**	**$231.2**	**$268.9**	**$314.8**	**$343.8**
Operating Income	**$73.6**	**$75.0**	**$72.9**	**$70.5**	**$80.5**	**$82.6**	**$92.2**	**$104.0**	**$108.3**	**$112.5**	**$112.0**	**$112.2**	**$292.0**	**$359.2**	**$444.9**	**$503.6**
Interest Income (Exp) & Other, Net	8.4	8.5	10.8	14.8	16.5	16.0	16.3	16.7	18.0	19.2	20.7	22.1	42.5	65.5	80.0	85.0
Profit Before Taxes	**$82.1**	**$83.5**	**$83.6**	**$85.2**	**$97.0**	**$98.6**	**$108.5**	**$120.6**	**$126.2**	**$131.7**	**$132.7**	**$134.3**	**$334.4**	**$424.8**	**$524.9**	**$588.7**
Tax expense (benefit)	12.1	13.1	13.6	13.0	16.7	14.8	17.4	19.3	20.2	21.1	21.2	21.5	51.9	68.2	84.0	94.2
Net Income - Pro Forma	**$70.0**	**$70.4**	**$70.0**	**$72.24**	**$80.265**	**$83.8**	**$91.2**	**$101.3**	**$106.0**	**$110.6**	**$111.4**	**$112.8**	**$282.6**	**$356.6**	**$440.9**	**$494.5**
EPS - Pro Forma (ex-ESO)	**$2.18**	**$2.20**	**$2.16**	**$2.14**	**$2.33**	**$2.43**	**$2.65**	**$2.95**	**$3.09**	**$3.22**	**$3.25**	**$3.29**	**$8.67**	**$10.36**	**$12.84**	**$14.54**
EPS - Pro Forma (incl-ESO)	$1.98	$2.00	$1.95	$1.93	$2.15	$2.25	$2.46	$2.75	$2.89	$3.02	$3.04	$3.08	$7.86	$9.62	$12.03	$13.66
EPS - GAAP	**$2.02**	**$2.13**	**$1.89**	**$1.91**	**$2.10**	**$2.20**	**$2.41**	**$2.71**	**$2.84**	**$2.97**	**$2.99**	**$3.03**	**$7.95**	**$9.42**	**$11.84**	**$13.48**
Fully Diluted Shares	32.1	32.1	32.5	33.8	34.4	34.4	34.4	34.4	34.4	34.3	34.3	34.3	32.6	34.4	34.3	34.0
Percent of Sales																
Gross Margin	59.6%	60.0%	58.5%	59.5%	59.4%	59.0%	59.2%	59.2%	59.4%	59.4%	59.5%	59.5%	59.4%	59.2%	59.5%	59.5%
R&D	14.3%	14.9%	15.1%	15.8%	14.5%	15.5%	15.3%	15.0%	15.1%	14.9%	15.2%	15.3%	15.0%	15.1%	15.1%	14.9%
SG&A	10.8%	11.0%	11.0%	12.1%	10.8%	10.7%	10.2%	9.5%	9.5%	9.4%	9.5%	9.6%	11.2%	10.3%	9.5%	9.2%
Operating Margin	34.5%	34.1%	32.4%	31.6%	34.2%	32.8%	33.7%	34.7%	34.8%	35.1%	34.8%	34.6%	33.2%	33.9%	34.8%	35.4%
Pre-Tax Margin	38.5%	38.0%	37.2%	38.3%	41.2%	39.1%	39.6%	40.2%	40.6%	41.1%	41.2%	41.4%	38.0%	40.0%	41.1%	41.3%
Tax Rate	14.7%	15.7%	16.3%	15.3%	17.2%	15.0%	16.0%	16.0%	16.0%	16.0%	16.0%	16.0%	15.5%	16.1%	16.0%	16.0%
Net Income	32.8%	32.0%	31.2%	32.4%	34.1%	33.3%	33.3%	33.8%	34.1%	34.5%	34.6%	34.8%	32.1%	33.6%	34.5%	34.7%
Sequential Change								24.5%								
R&D	8.3%	7.2%	3.8%	3.5%	(3.0%)	14.5%	7.7%	7.1%	4.0%	2.1%	2.1%	2.0%	33.5%	21.0%	20.7%	10.0%
SG&A	11.0%	5.2%	1.7%	9.5%	(6.0%)	6.4%	3.7%	1.8%	4.0%	1.7%	1.7%	1.6%	22.1%	10.1%	11.7%	8.0%
Reconciliation of Pro Forma to GAAP																
Share based compensation	($6.4)	($6.3)	($6.7)	($7.0)	($6.2)	($6.3)	($6.5)	($6.6)	($6.8)	($6.9)	($7.1)	($7.2)	($26.3)	($25.7)	($28.1)	($30.1)
Amortization of acquired intangible assets	(1.8)	(2.2)	(2.3)	(2.5)	(2.1)	(2.1)	(2.1)	(2.1)	(2.1)	(2.1)	(2.1)	(2.1)	(8.9)	(8.3)	(8.3)	(8.3)
Acquisition-related expenses and continger	(0.9)												(0.9)			
Acquisition-related inventory step-up	(1.3)	(0.9)											(2.3)			
Amortization of debt discount and issuance	(0.3)	(0.3)	(0.4)	(1.0)	(1.0)	(1.0)	(1.0)	(1.0)	(1.0)	(1.0)	(1.0)	(1.0)	(2.0)	(4.1)	(4.1)	(4.1)
Revaluation of operating lease liabilities	4.8	7.0	(0.8)	(1.6)									9.3			
Tax effect of non-GAAP adjustments	0.8	0.6	1.6	0.4	1.4	1.4	1.4	1.5	1.5	1.5	1.5	1.6	3.4	5.7	6.1	6.4
Discrete tax reserve release, net				4.2									4.2			
Net Income - GAAP	**$64.8**	**$68.3**	**$61.4**	**$64.7**	**$72.3**	**$75.8**	**$83.0**	**$93.1**	**$97.6**	**$102.1**	**$102.8**	**$104.0**	**$259.2**	**$324.2**	**$406.5**	**$458.4**
GAAP Shares	32.1	32.1	32.5	33.8	34.4	34.4	34.4	34.4	34.4	34.3	34.3	34.3	32.6	34.4	34.3	34.0
EPS - GAAP	**$2.02**	**$2.13**	**$1.89**	**$1.91**	**$2.10**	**$2.20**	**$2.41**	**$2.71**	**$2.84**	**$2.97**	**$2.99**	**$3.03**	**$7.95**	**$9.42**	**$11.84**	**$13.48**

Source: Company Reports, Jefferies Research

Figure 3 - Balance Sheet

Nova Period Ending $ in million	Mar-25 1Q	Jun-25 2Q	Sep-25 3Q	Dec-25 4Q	Mar-26 1Q	Jun-26 2QE	Sep-26 3QE	Dec-26 4QE	Mar-27 1QE	Jun-27 2QE	Sep-27 3QE	Dec-27 4QE	2025 CY	2026 CYE	2027 CYE
Balance Sheet															
Assets															
Cash and cash equivalents	$141.1	$160.6	$521.6	$214.5	$421.8	$475.4	$530.2	$602.2	$697.0	$793.7	$902.6	$1,010.5	$214.5	$602.2	$1,010.5
Short-term interest-bearing bank depos	211.7	208.4	179.8	512.3	333.3	333.3	333.3	333.3	333.3	333.3	333.3	333.3	512.3	333.3	333.3
Marketable securities	189.1	187.8	386.6	321.8	343.4	343.4	343.4	343.4	343.4	343.4	343.4	343.4	321.8	343.4	343.4
Trade accounts receivable, net	126.9	138.4	144.9	151.9	176.9	193.7	210.8	230.6	239.2	246.6	247.4	249.7	151.9	230.6	249.7
Inventories	174.8	182.0	183.1	183.7	178.9	198.5	221.1	235.2	242.8	250.3	250.5	252.8	183.7	235.2	252.8
Other current assets	32.1	24.1	29.5	26.7	35.6	35.6	35.6	35.6	35.6	35.6	35.6	35.6	26.7	35.6	35.6
Total Current Assets	**$875.7**	**$901.4**	**$1,445.5**	**$1,410.8**	**$1,489.9**	**$1,580.0**	**$1,674.4**	**$1,780.3**	**$1,891.3**	**$2,002.9**	**$2,113.0**	**$2,225.2**	**$1,410.8**	**$1,780.3**	**$2,225.2**
Marketable securities	$260.2	$287.5	$510.0	$584.7	$567.9	$567.9	$567.9	$567.9	$567.9	$567.9	$567.9	$567.9	$584.7	$567.9	$567.9
Interest-bearing bank deposits	8.5	10.3	10.5	10.9	9.4	9.4	9.4	9.4	9.4	9.4	9.4	9.4	10.9	9.4	9.4
Restricted interest-bearing bank depos	1.6	1.6	1.6	1.6	1.6	1.6	1.6	1.6	1.6	1.6	1.6	1.6	1.6	1.6	1.6
Deferred tax assets	32.9	35.4	38.1	38.8	38.9	38.9	38.9	38.9	38.9	38.9	38.9	38.9	38.8	38.9	38.9
Severance pay funds	1.0	1.0	1.0												
Operating lease right-of-use assets	50.9	52.4	54.5	57.7	56.8	56.8	56.8	56.8	56.8	56.8	56.8	56.8	57.7	56.8	56.8
Property, plant and equipment, net	88.9	92.0	95.6	102.6	101.8	104.2	106.5	108.7	108.7	109.2	109.4	109.2	102.6	108.7	109.2
Intangible assets, net	48.9	50.4	48.1	45.8	42.6	42.6	42.6	42.6	42.6	42.6	42.6	42.6	45.8	42.6	42.6
Goodwill	84.9	90.7	90.8	90.8	89.3	89.3	89.3	89.3	89.3	89.3	89.3	89.3	90.8	89.3	89.3
Other long-term assets	10.0	10.8	12.9	16.7	17.6	17.6	17.6	17.6	17.6	17.6	17.6	17.6	16.7	17.6	17.6
Total Assets	**$1,463.8**	**$1,533.6**	**$2,308.5**	**$2,360.5**	**$2,415.7**	**$2,508.2**	**$2,604.9**	**$2,713.0**	**$2,824.0**	**$2,936.0**	**$3,046.3**	**$3,158.4**	**$2,360.5**	**$2,713.0**	**$3,158.4**
Liabilities															
Trade accounts payable	$55.2	$53.6	$90.8	$47.0	$54.1	$62.4	$67.6	$73.9	$80.5	$82.9	$83.0	$83.8	$47.0	$73.9	$83.8
Convertible senior notes current	180.9	150.0	55.0		732.6	732.6	732.6	732.6	732.6	732.6	732.6	732.6		732.6	732.6
Deferred revenues	69.2	64.5	72.0	67.2	49.1	49.1	49.1	49.1	49.1	49.1	49.1	49.1	67.2	49.1	49.1
Operating lease current liabilities	7.2	7.0	7.3	8.2	9.5	9.5	9.5	9.5	9.5	9.5	9.5	9.5	8.2	9.5	9.5
Other current liabilities	89.3	75.9	90.4	102.2	98.5	98.5	98.5	98.5	98.5	98.5	98.5	98.5	102.2	98.5	98.5
Total Current Liabilities	**$401.8**	**$351.0**	**$315.5**	**$224.5**	**$943.9**	**$952.2**	**$957.3**	**$963.7**	**$970.2**	**$972.7**	**$972.8**	**$973.5**	**$224.5**	**$963.7**	**$973.5**
Accrued severance pay															
Convertible senior notes, net				731.7									731.7		
Operating lease long-term liabilities	47.7	52.3	54.9	59.3	58.0	58.0	58.0	58.0	58.0	58.0	58.0	58.0	59.3	58.0	58.0
Long-term deferred tax liability	14.0	14.0	13.3	10.2	9.3	9.3	9.3	9.3	9.3	9.3	9.3	9.3	10.2	9.3	9.3
Other long-term liabilities	18.2	20.0	22.3	16.6	16.9	16.9	16.9	16.9	16.9	16.9	16.9	16.9	16.6	16.9	16.9
Total Liabilities	**$481.7**	**$437.2**	**$406.1**	**$1,042.3**	**$1,028.1**	**$1,036.4**	**$1,041.6**	**$1,047.9**	**$1,054.5**	**$1,057.0**	**$1,057.0**	**$1,057.8**	**$1,042.3**	**$1,047.9**	**$1,057.8**
Shareholders' Equity															
Additional paid-in capital	$118.1	$157.8	$895.8	$239.9	$229.6	$231.6	$233.7	$235.8	$242.5	$247.7	$253.4	$259.6	$239.9	$235.8	$259.6
Accumulated other comprehensive inc	(5.3)	(5.3)	(5.3)	(5.3)	(5.3)	(5.3)	(5.3)	(5.3)	(5.3)	(5.3)	(5.3)	(5.3)	(5.3)	(5.3)	(5.3)
Retained earnings (accumulated deficit	869.3	943.9	1,012.0	1,083.7	1,163.3	1,245.4	1,334.9	1,434.6	1,532.2	1,636.7	1,741.2	1,846.3	1,083.7	1,434.6	1,846.3
Total Shareholder's Equity	**$982.1**	**$1,096.4**	**$1,902.4**	**$1,318.2**	**$1,387.6**	**$1,471.8**	**$1,563.3**	**$1,665.1**	**$1,769.5**	**$1,879.1**	**$1,989.3**	**$2,100.6**	**$1,318.2**	**$1,665.1**	**$2,100.6**
Total Liabilities & Equity	**$1,463.8**	**$1,533.6**	**$2,308.5**	**$2,360.5**	**$2,415.7**	**$2,508.2**	**$2,604.9**	**$2,713.0**	**$2,824.0**	**$2,936.0**	**$3,046.3**	**$3,158.4**	**$2,360.5**	**$2,713.0**	**$3,158.4**

Source: Company Reports, Jefferies Research

Figure 4 - Statement of Cash Flows

Nova Period Ending $ in million	Mar-25 1Q	Jun-25 2Q	Sep-25 3Q	Dec-25 4Q	Mar-26 1Q	Jun-26 2QE	Sep-26 3QE	Dec-26 4QE	Mar-27 1QE	Jun-27 2QE	Sep-27 3QE	Dec-27 4QE	2025 CY	2026 CYE	2027 CYE
Cash Flow Statement															
Cash Flows from Operations															
Net income	$64.8	$68.3	$61.4	$64.7	$69.3	$75.8	$83.0	$93.1	$97.6	$102.1	$102.8	$104.0	$259.2	$321.1	$406.5
Depreciation	3.1	3.2	3.4	3.8	3.5	3.6	3.7	3.8	3.9	4.0	4.1	4.2	13.5	14.6	16.2
Amortization of intangible assets	1.8	2.2	2.3	2.5	2.3	2.1	2.1	2.1	2.1	2.1	2.1	2.1	8.9	8.5	8.3
Amortization of premium and accretion	(1.5)	(1.3)	(1.3)	(1.6)	(1.3)								(5.7)	(1.3)	
Amortization of debt discount and issua	0.3	0.3	0.4	1.0	1.0								2.0	1.0	
Share-based compensation	6.4	6.3	6.7	7.0	7.3	6.3	6.5	6.6	6.8	6.9	7.1	7.2	26.3	26.8	28.1
Net effect of exchange rate fluctuation	(3.9)	(11.2)	(2.3)	(1.3)	0.1								(18.6)	0.1	
Changes in assets and liabilities:															
Trade accounts receivable, net	15.5	(9.0)	(6.5)	(7.0)	(25.6)	(16.8)	(17.1)	(19.8)	(8.6)	(7.4)	(0.9)	(2.2)	(7.0)	(79.3)	(19.1)
Inventories	(9.1)	(6.3)	(2.7)	(0.9)	4.1	(19.7)	(22.6)	(14.0)	(7.6)	(7.5)	(0.3)	(2.2)	(19.0)	(52.3)	(17.6)
Other current and long-term assets	(13.1)	7.2	(8.6)	(2.9)	(9.5)								(17.5)	(9.5)	
Deferred tax assets, net	(2.6)	(3.5)	(3.5)	(4.2)	(0.6)								(13.8)	(0.6)	
Operating lease right-of-use assets	0.5	(2.4)	4.1	1.4	1.0								3.7	1.0	
Trade accounts payable	(0.0)	(1.7)	(2.9)	(4.2)	7.3	8.3	5.2	6.3	6.5	2.5	0.1	0.7	(8.8)	27.1	9.9
Deferred revenues	(7.4)	(5.0)	8.0	(3.5)	(19.7)								(7.9)	(19.7)	
Operating lease liabilities	(0.9)	5.2	(3.2)	0.6	0.1								1.7	0.1	
Other current and long-term liabiliti	14.8	(7.1)	15.8	4.6	0.9								28.2	0.9	
Accrued severance pay, net	(0.0)	0.4	0.1	0.0	0.0								0.5	0.0	
Net Cash from Operations from continu	**$68.5**	**$45.7**	**$71.3**	**$60.1**	**$40.1**	**$59.6**	**$60.8**	**$78.1**	**$100.7**	**$102.7**	**$115.0**	**$113.8**	**$245.6**	**$238.5**	**$432.3**
Cash Flow from Investing															
Purchase of property and equipment	($8.9)	($2.7)	($4.3)	($11.8)	($4.0)	($6.0)	($6.0)	($6.0)	($6.0)	($6.0)	($6.0)	($6.0)	($27.7)	($22.0)	($24.0)
Acquisition of subsidiary, net of acquire	(51.7)	(4.7)	0.5										(55.9)		
Change in short-term and long-term int	(2.3)	2.2	29.1	(332.6)	180.2								(303.7)	180.2	
Investment in marketable securities	(82.3)	(74.5)	(509.5)	(88.5)	(130.3)								(754.8)	(130.3)	
Proceeds from maturities of marketable	79.1	51.1	92.0	82.7	121.9								304.9	121.9	
Net Cash from Investing from continuin	**($66.0)**	**($28.7)**	**($392.3)**	**($350.2)**	**$167.7**	**($6.0)**	**($6.0)**	**($6.0)**	**($6.0)**	**($6.0)**	**($6.0)**	**($6.0)**	**($837.2)**	**$149.7**	**($24.0)**
Cash Flows from Financing															
Proceeds from the issuance of convertible senior note			$732.3	($3.2)									$729.0		
Purchase of capped calls			($51.8)										($51.8)		
Conversion of convertible senior notes				($0.0)									($0.0)		
Purchases of treasury shares	(20.0)			(15.0)									(35.0)		
Proceeds from exercise of options															
Net Cash from Financing	**($20.0)**	**$0.0**	**$680.4**	**($18.2)**	**$0.0**	**$0.0**	**$0.0**	**$0.0**	**$0.0**	**$0.0**	**$0.0**	**$0.0**	**$642.2**	**$0.0**	**$0.0**
Effect of exchange rate change on cash	$0.8	$2.8	$1.6	$1.1	($0.8)								$6.4	($0.8)	
Cash and cash equivalents at beginning of	$157.8	$141.1	$160.9	$522.0	$214.8	$421.8	$475.4	$530.2	$602.2	$697.0	$793.7	$902.6	$157.8	$214.8	$602.2
Increase (decrease) in cash and cash equi	(16.7)	19.8	361.1	(307.2)	207.0	53.6	54.8	72.1	94.7	96.7	109.0	107.8	57.0	387.5	408.3
Cash and cash equivalents at end of pe	**$141.1**	**$160.9**	**$522.0**	**$214.8**	**$421.8**	**$475.4**	**$530.2**	**$602.2**	**$697.0**	**$793.7**	**$902.6**	**$1,010.5**	**$214.8**	**$602.2**	**$1,010.5**
Cash Flow from Operations	$68.5	$45.7	$71.3	$60.1	$40.1	$59.6	$60.8	$78.1	$100.7	$102.7	$115.0	$113.8	$245.6	$238.5	$432.3
Capex	($8.9)	($2.7)	($4.3)	($11.8)	($4.0)	($6.0)	($6.0)	($6.0)	($6.0)	($6.0)	($6.0)	($6.0)	($27.7)	($22.0)	($24.0)
Free Cash Flow	**$59.7**	**$42.9**	**$66.9**	**$48.4**	**$36.0**	**$53.6**	**$54.8**	**$72.1**	**$94.7**	**$96.7**	**$109.0**	**$107.8**	**$217.9**	**$216.4**	**$408.3**
Free Cash Flow to Equity	$59.7	$42.9	$799.2	$45.1	$36.0	$53.6	$54.8	$72.1	$94.7	$96.7	$109.0	$107.8	$947.0	$216.4	$408.3
Equity FCF/Share	$1.86	$1.34	$24.61	$1.33	$1.05	$1.56	$1.59	$2.10	$2.76	$2.82	$3.18	$3.14	$29.05	$6.29	$11.89

Source: Company Reports, Jefferies Research

Company Description

Nova

Nova Ltd. engages in the provision of metrology solutions for the semiconductor manufacturing industry. Its products and services include dimensional metrology, in-line materials and chemical metrology for semiconductor manufacturing and software solutions. The company was founded by Giora Dishon and Moshe Finarov in May 1993 and is headquartered in Rehovot, Israel.

Company Valuation/Risks

Nova

Price Target: $640 implies 44x our CY28E EPS of $14.54.

Risks:

- Slower industry-wide inventory correction impacting margins.
- NVMI underperforms overall WFE and has excess capacity due to a lack of demand for its metrology tools.
- Slowing capex of customers leading to decline in NVMI revenue and margins.

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Investment Recommendation Record

(Article 3(1)e and Article 7 of MAR)

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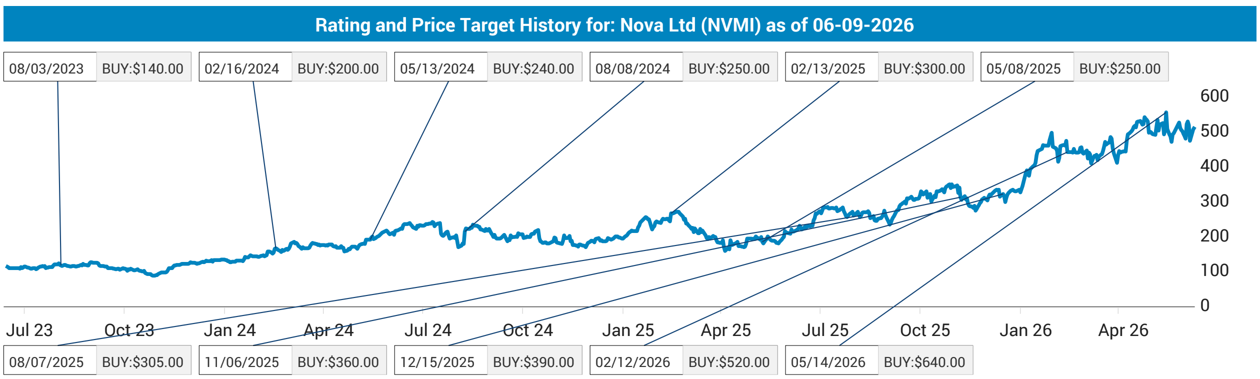
Other Companies Mentioned in This Report

- Advanced Micro Devices, Inc. (AMD: $475.51, BUY)
- Applied Materials Inc. (AMAT: $499.21, BUY)
- Camtek Ltd (CAMT: $168.15, BUY)
- Intel Corporation (INTC: $107.92, HOLD)
- KLA Corporation (KLAC: $2,139.37, BUY)
- LAM Research Corporation (LRCX: $327.16, BUY)
- Nova Ltd (NVMI: $514.49, BUY)
- Onto Innovation Inc (ONTO: $274.03, BUY)



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			IB Serv./Past12 Mos.		JIL Mkt Serv./Past12 Mos.	
	Count	Percent	Count	Percent	Count	Percent
BUY	2198	62.07%	380	17.29%	113	5.14%
HOLD	1179	33.30%	111	9.41%	20	1.70%
UNDERPERFORM	164	4.63%	1	0.61%	1	0.61%

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